HCL Technologies

HCLTECH

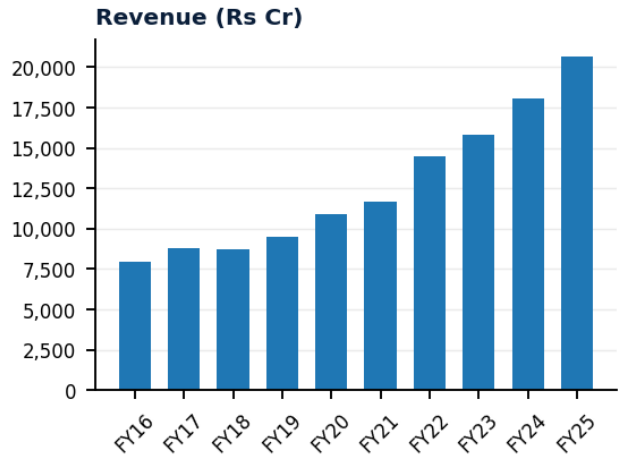
Sector: IT

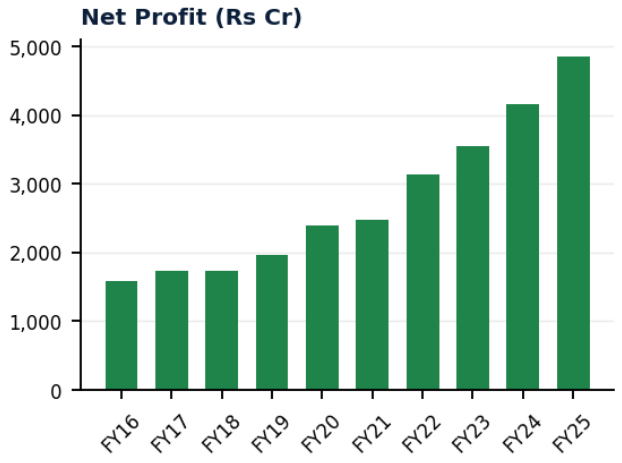
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
20,679	4,854	33.1%

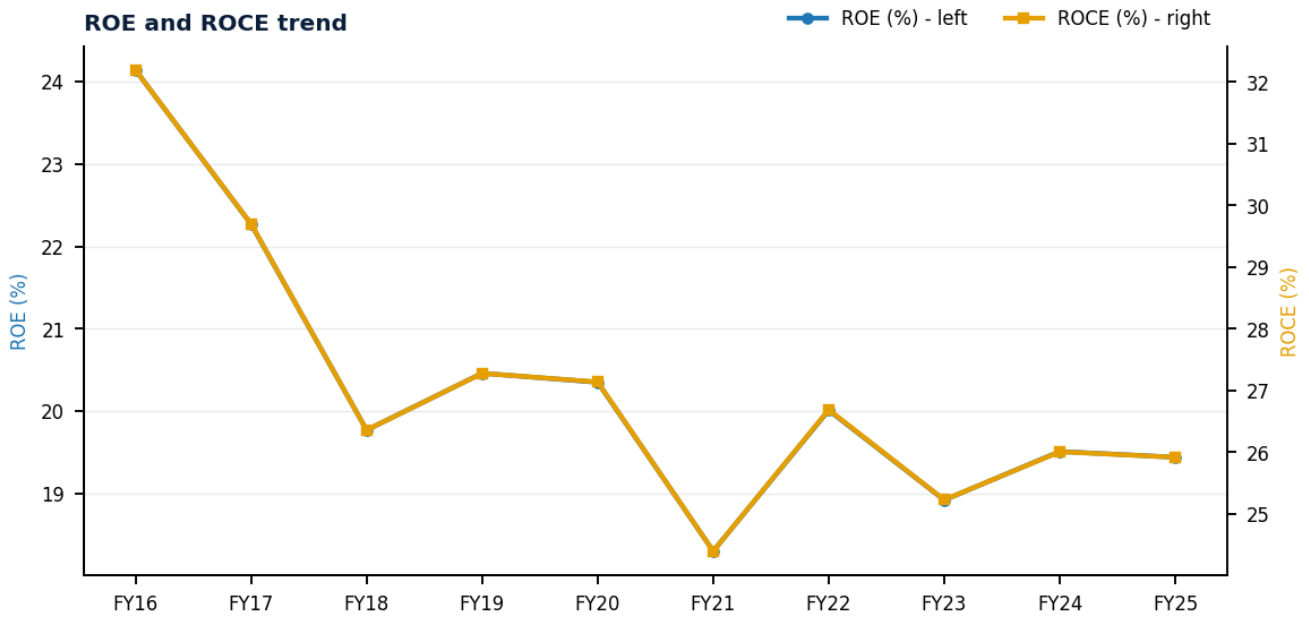
ROE (%)	ROCE (%)	Debt / Equity (x)
19.4%	25.9%	0.00x

10-year Revenue and Net Profit

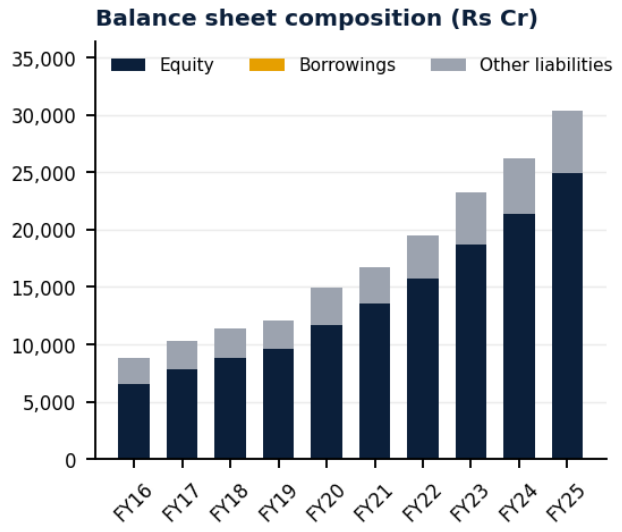


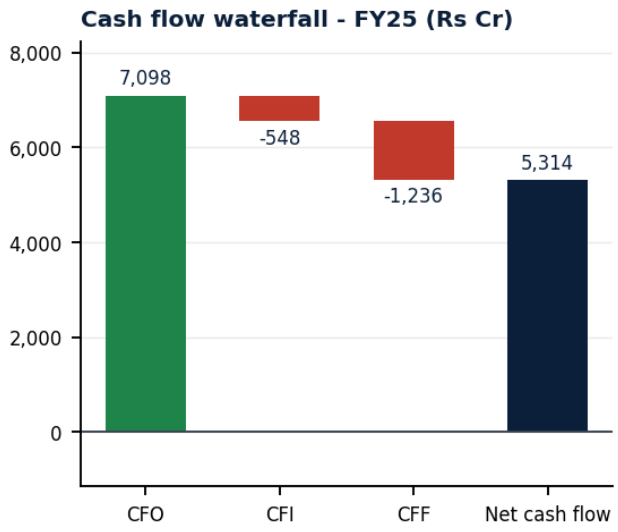


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Debt-free balance sheet provides financial flexibility and eliminates interest burden (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (76%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (64%)

Cons - what to watch

- 5-year revenue CAGR of 13.6% is the closest metric to the sector median of 11.7%, with no standout weakness (61%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
Moderate (1.00)	**Asset Light (2.6%)**	**No**	**No**